// STRATEGY RESEARCH NOTE

FINISHED AUCTION RETEST

A long-only 15-minute NQ model that tries to express an order-flow read of a finished auction using OHLC data alone. Released unfinished, with a known defect in its core filter.

INSTRUMENT **NQ Futures**	SAMPLE **2,066 trades**	PERIOD **2020 / 2026**	TIMEFRAME **15 Minutes**
DIRECTION **Long only**	ORIGIN **Auction Theory**	PLATFORM **MultiCharts**	DEVELOPED BY **Kusho**

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// ABSTRACT

THE CASE.

The model is a long-only intraday system on NQ futures, 15-minute bars. It did not come from a paper. It comes from discretionary trading built on Auction Market Theory, and specifically from one read: a **finished auction at an extreme**, normally identified from footprint bid/ask prints such as 34 × 0 at the low.

With no Level 2 or Level 3 data available inside MultiCharts, the development question became whether an area with comparable characteristics can be located from OHLC alone. The candidate proxy is a bullish bar that opens on its low. Entry is not a chase; a buy limit is left at that opening price on the assumption that an area buyers previously defended may be defended again on a retest.

Across **2,066 trades** from April 2020 to August 2026 the exported MultiCharts run shows **$353,286** net profit, a profit factor of **1.34**, a 50.24% hit rate and a $38,695 maximum strategy drawdown, with commission and slippage already embedded. The model has been used to pass a prop-firm evaluation. That is a practical observation from account use, not statistical evidence and not a robustness result.

Two findings dominate the rest of this document. First, in the code as tested the wick condition is **unconditionally true** for every bullish bar, so the filter that defines the hypothesis is not actually active; every statistic here describes a permissive superset of the intended strategy rather than the no-wick idea itself. Second, the 21:00 end-of-day flat does not fire on Fridays, and the **129 positions carried over a weekend — 6.2% of the sample — supply 44.7% of net profit**. Neither behaviour was designed.

UNFINISHED

A 10,000-path trade-order Monte Carlo has been run and is reported in §05B. No bootstrap, walk-forward, parameter sweep or confidence-interval work exists. Everything else reported is descriptive statistics from a single MultiCharts export, plus deterministic arithmetic on the exported trade log. The model is **not validated**, is **not presented as deployable**, and is published so that the defect in §05 can be attacked by people other than its author.

01

// HYPOTHESIS AND ORIGIN

WHERE IT COMES FROM.

// Auction Market Theory

The market is treated as a continuous two-sided auction searching for accepted value. In balance, price rotates around an accepted area. In imbalance, price moves directionally away from that area in search of a new one. Everything in this model is an attempt to locate the second state and then trade the return to the level where it started.

// The Order-Flow Read

Discretionary execution of this idea uses footprint data. The specific pattern of interest is a **finished auction at an extreme**: the bid/ask prints at the low show one side dominating the final trade at that price with no meaningful opposing participation below it — for example `34 × 0`. The information is in what did *not* trade.

// The Constraint

When this algorithm was written, no Level 2 / Level 3 feed was available inside MultiCharts. Delta, bid/ask imbalance and absorption were all out of reach. The design question was reduced to a single line:

> *Can an area with similar auction characteristics be identified using only OHLC?*
>
> DEVELOPMENT QUESTION

// The OHLC Proxy

A bullish 15-minute candle that opens at its low and never trades below that level leaves the entire price region below the open **untested during that auction**. Nobody was able to push the auction lower once it began. That is the structural signature the model looks for.

This is a **proxy, not a measurement**. OHLC cannot show how much size traded at the low, whether it was absorbed, or who was passive. The no-wick bar is a hypothesis about one-sided auction behaviour, and it is presented here as exactly that.

// The Trade Concept

- Identify the bullish no-wick bar.
- Take the opening price as the reference level of the previously established area.
- Do **not** chase the initial move.
- Wait for price to return and retest that area.
- Place a buy limit at the reference level.
- Trade the assumption that an area buyers previously dominated may be defended again when revisited.

// WHAT THIS IS NOT

The document does not claim that an OHLC bar proves a finished auction, that the no-wick structure is equivalent to a footprint read, or that the backtest constitutes evidence for the auction hypothesis. As shown in §05, the tested code does not even enforce the no-wick condition.

01

// AS IMPLEMENTED, NOT AS INTENDED

SPECIFICATION.

// Entry Logic

Flat, inside the session window, a bar qualifies when it closes above its open, closes above the **50-period EMA**, and satisfies the wick test `Low <= Open + TickSize`. On a qualifying bar the strategy submits `Buy next bar at Open limit` — a limit order at the *signal bar's* opening price.

The order is live for **one bar only**. If the retest does not occur on the immediately following 15-minute bar the setup is discarded, and is re-armed only if a fresh bar qualifies. The mechanical implementation of "wait for the retest" is therefore a single-bar window, which is narrower than the discretionary concept it is derived from.

// Exit Logic

On fill, the model searches bars 2 to 10 back for the most recent swing low (a low lower than the bar either side of it). If that swing low sits within **500 ticks** of entry it becomes the stop, the target is set at **3R**, and a break-even rule arms at **1.5R** moving the stop to entry **+5 ticks**. If no valid swing low is found, or the distance exceeds 500 ticks, the trade falls back to a fixed **200-tick stop and 200-tick target** with no break-even.

Any open position is flattened at market once bar time reaches **21:00**. The EOD branch pre-empts the TP/SL branch, so after 21:00 no protective orders are working.

// Position Sizing

Fixed at **1 contract** of NQ for the whole run, no ATR scaling, no compounding. Point value $20; one tick is 0.25 points, i.e. **$5**.

// SESSION WINDOW

Signals are accepted from **09:00** to **13:59** chart time, so fills land between 09:15 and 14:00. Seven fills in the log (0.3%, −$3,106) are stamped 17:15 and fall outside that window; the cause was not established and is carried as an open item in §09.

// FILL REALISM

Classic mode with the bar magnifier disabled resolves intrabar sequence by assumption, not by tick data. Entries are limit orders, so a fill is credited whenever the bar trades to the level, with no queue position modelled.

// Inputs As Tested

EMALength	50
TargetTicks	200
HardStopTicks	200
MaxSwingRiskTicks	500
SwingRR	3.0
SwingBE_R	1.5
BEPufferTicks	5
StartTime	0900
EndTime	1359
EODTime	2100
TickSizeOverride	0

FIG. A SETTINGS SHEET, BACKTEST WORKBOOK

// Data & Test Environment

Symbol	NQ
Compression	15 Minutes
Point value	$20
Start	2020-04-01 10:30
End	2026-08-14 16:00
Initial capital	$100,000
Commission	$5 / trade
Slippage	$1 / trade
Fill assumption	Limit or better
Backtesting mode	Classic
Bar magnifier	Disabled
Max contracts held	1

FIG. B ENVIRONMENT AS RECORDED IN THE WORKBOOK

02

// ANALYSING THE RESULT

DOES IT MAKE MONEY?

// NET PROFIT	// PROFIT FACTOR	// MAX STRATEGY DD	// ANN. SHARPE
$353,286	**1.34**	**10.71%**	**2.09**
2,066 trades, costs included	adj. 1.26 / select 1.17	$38,695 intraday peak-to-trough	monthly basis, MultiCharts

PERFORMANCE SUMMARY	ALL TRADES
Net Profit	**$353,286.00**
Gross Profit	$1,383,875.00
Gross Loss	($1,030,589.00)
Adjusted Net Profit	$278,158.04
Select Net Profit	$123,893.00
Account Size Required	$35,650.00
Return on Initial Capital	353.29%
Return on Account	990.98%
Max Strategy Drawdown	($38,695.00)
Max Strategy Drawdown (%)	(10.71%)
Max Close-to-Close DD	($35,650.00)
Return on Max Strategy DD	**9.13**
Buy & Hold Return	$294,530.94

RATIOS AND RATES	ALL TRADES
Profit Factor	**1.34**
Adjusted Profit Factor	1.26
Select Profit Factor	1.17
Annual Rate of Return	55.47%
Monthly Rate of Return	4.62%
Avg Monthly Return	$4,588.13
Monthly Return StDev	$7,313.88
Sharpe Ratio	0.60
Annualized Sharpe Ratio	**2.09**
Sortino Ratio	1.29
Calmar Ratio	0.0144
RINA Index	669.86
Total # of Trades	**2,066**
Percent Profitable	**50.24%**

// TIME IN MARKET

Trading period 6 years, 4 months. Position held **23.69%** of elapsed time. Longest flat period 8 days, 20 hours.

// COSTS PAID

Commission **$20,660**, slippage **$1,554**. Both are inside the net profit figure above. See §08 for why the slippage number is small.

// DIRECTION

All 2,066 trades are long. The short columns of the workbook are empty by construction; the model has no short branch.

02

// REVIEWER COMMENTARY

READING THE PRINT.

// 01, WHERE THE EDGE SITS

The hit rate is a coin flip — 50.24%. Everything is carried by payoff asymmetry: the average winner is $1,333 against an average loser of $1,004, a ratio of **1.33**. This is a win-size model, not a win-rate model, which is the expected shape for a structural stop with a 3R target.

// 02, RETURN PER UNIT OF PAIN

Return on max strategy drawdown is **9.13**, and the worst peak-to-trough excursion is 10.71% of equity on a $100k base with one contract. The number is flattering because position size never grows with the account.

// 03, CONCENTRATION

The single largest winner, $17,345, is 4.9% of net profit; the top five are 13.3%. Removing them leaves **$306,181**. No individual trade carries the result — but as §04 shows, a small structural *subset* of trades does.

// 04, SEQUENCE

The workbook reports a trade-series Z-score of **12.50** with maximum runs of 9 wins and 9 losses. A Z-score of that size indicates serial structure in the trade sequence, but no runs test or permutation study was performed here, so it is reported and not interpreted.

// Total Trade Analysis

Total # of Trades	**2,066**
Number Winning Trades	1,038
Number Losing Trades	1,026
Even Trades	2
Percent Profitable	**50.24%**
Avg Trade (win & loss)	**$171.00**
Average Winning Trade	$1,333.21
Average Losing Trade	($1,004.47)
Ratio Avg Win / Avg Loss	**1.33**
Largest Winning Trade	$17,345.00
Largest Losing Trade	($3,891.00)
1 Std. Dev. of Avg. Trade	$1,568.47
Avg # Bars in All Trades	13.2
Avg # Bars in Winners	18.4
Avg # Bars in Losers	8.0
Avg # Bars Between Trades	60.4
Max Consecutive Winners	9
Max Consecutive Losers	9
Largest Consecutive Loss	($12,849.00)
Number of Outliers	296

FIG. C TRADE ANALYSIS SHEET, ALL TRADES, 2020 TO 2026

> *Winners run 18 bars, losers 8. The exit architecture cuts fast and holds slow, and that asymmetry — not the entry filter — is what the P&L is currently made of.*
>
> PER-TRADE REVIEW

03

// VISUAL INSPECTION

EQUITY / DRAWDOWN.

Three things matter on an equity plot: whether the ascent is monotone across regimes, whether drawdowns cluster or escalate, and whether the terminal figure depends on a single stretch of the sample. The curve climbs from $100k to roughly $453k without a regime break, but it is not uniform — 2022 and 2026 are visibly flatter than 2020 and 2024, and the largest drawdown of the entire sample is the most recent one.

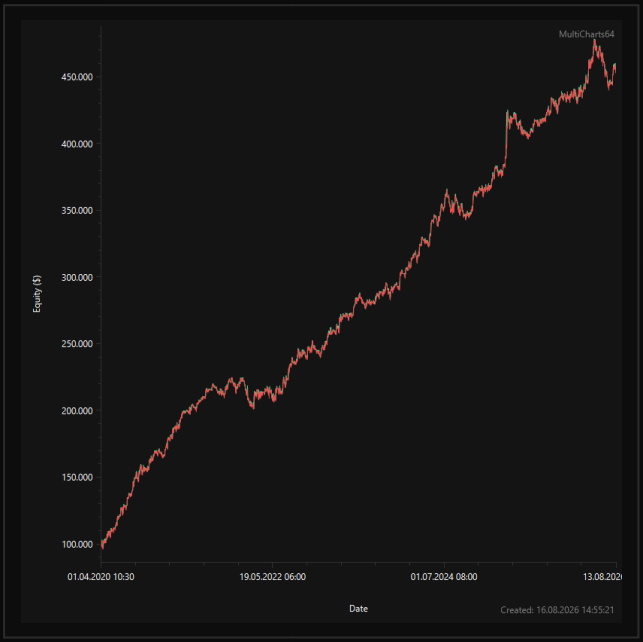


FIG. 1 EQUITY CURVE, $100K TO $453K, APR 2020 TO AUG 2026

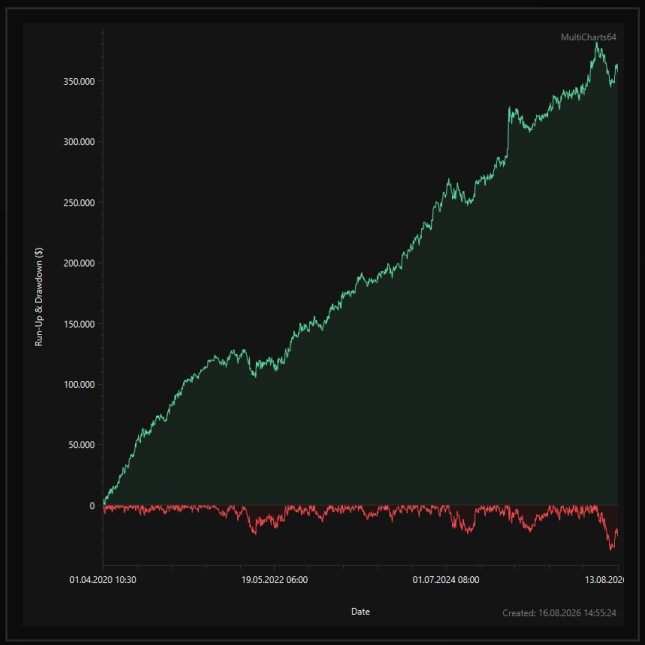


FIG. 2 CUMULATIVE RUN-UP AGAINST CLOSED-BAR DRAWDOWN ENVELOPE

// SHAPE

No regime break and no step-function jumps. The visible flat stretches are 2022 (PF 1.14) and 2026 to date (PF 1.12); both are periods in which the model kept trading at normal frequency and simply stopped paying. That is degradation of edge, not disengagement.

// DRAWDOWN ENVELOPE

Excursions sit mostly inside $10k–$25k. The maximum strategy drawdown of **$38,695** is dated **2026-07-14** — the deepest excursion is at the right-hand edge of the sample, not buried in the early history. Maximum run-up is dated 2025-04-09.

> *The worst drawdown in six years is the most recent drawdown. Whatever else the curve says, it does not say the model is currently in its comfort zone.*

CONCLUSION OF §03

04

// PER-TRADE GEOMETRY

DISTRIBUTION.

Across 2,066 fills the model wins 50.24% of the time with an average winner of **$1,333** against an average loser of **$1,004**. The payoff ratio of 1.33 is what makes a coin-flip hit rate profitable. The median trade is **$14**, which is not a rounding artefact: it is the exact value of a break-even stop exit after costs, and 175 trades close there.

The distribution is therefore trimodal rather than bell-shaped — a dense fallback cluster at ±$1,000, a break-even spike at $14, and a thin right tail from swing trades that reach 3R or ride to the EOD close.

P&L BUCKET	TRADES
Below −$2,500	11
−$2,500 to −$1,500	169
−$1,500 to −$500	629
−$500 to $0	217
$0 to $500	**282**
$500 to $1,500	434
$1,500 to $3,000	217
$3,000 to $6,000	99
Above $6,000	8

DERIVED FROM THE EXPORTED TRADE LOG, 500-DOLLAR BINS

// SAMPLE SIZE

n = 2,066 closed trades over 6 years and 4 months, roughly 325 per year. The sample is large for an intraday model, but no confidence interval on the hit rate or on expectancy has been computed — see §09.

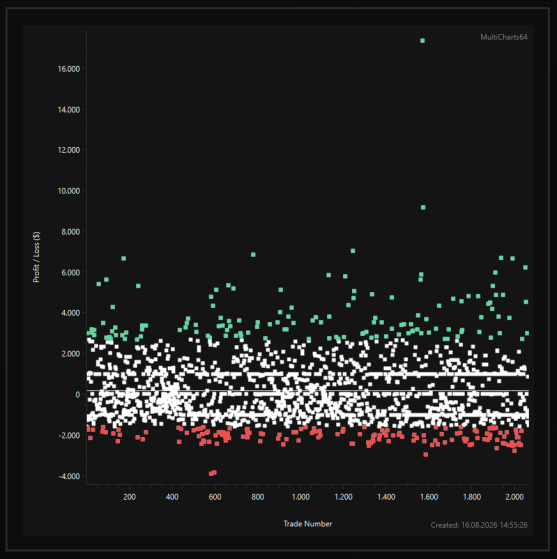


FIG. 3 PER-TRADE P&L BY TRADE NUMBER; OUTLIERS FLAGGED GREEN AND RED

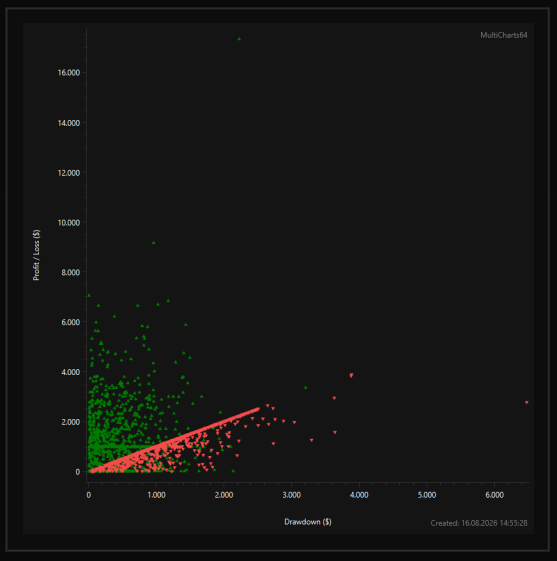


FIG. 4 MAXIMUM ADVERSE EXCURSION AGAINST REALISED P&L

The diagonal band of red in Fig. 4 is the stop wall: losers exit at almost exactly their worst excursion, as a hard stop dictates. The green cloud above it shows winners that survived adverse excursion of $500–$2,000 before resolving — the trades a tighter stop would remove.

04

// WHICH EXIT DOES THE WORK

EXIT GEOMETRY.

Every trade in the log terminates through one of three named exits. Splitting the P&L by exit signal is the single most informative decomposition available from this workbook, because it shows that the profit is not produced by the take-profit the strategy was designed around.

EXIT SIGNAL	TRADES	NET P&L	AVG
L-TP target	512	$787,445	$1,538
L-Stop stop / BE	1,089	($977,159)	($897)
L-EOD 21:00 close	**465**	**$543,000**	**$1,168**

DERIVED FROM THE EXPORTED TRADE LOG, 2,066 TRADES

The end-of-day liquidation is the second profit centre of the model. 22.5% of trades exit at the 21:00 flat rather than at a target or a stop, and they contribute $543,000 — more than the entire net profit of the strategy. Positions that simply survive the session and are held to the close are doing a large share of the work, which is a result about trend persistence in NQ, not about the no-wick entry. The positions that survive into a *later session* are examined separately in §04C, and that is the most consequential finding in this document after the wick defect.

// WHY THIS MATTERS

A 3R target that only fires on a quarter of trades, combined with a time-based exit that captures more P&L than the target does, suggests the exit architecture is mis-specified relative to the holding behaviour the model actually produces. This is the most promising place to rebuild — see §10.

// Cost-Exact Fingerprints

Because commission and slippage are fixed per fill, the three mechanical exits print at exact, identifiable values. Counting them recovers how often each branch of the risk logic fires.

SIGNATURE	VALUE	COUNT
Fallback target, 200 ticks	$990	199
Fallback stop, 200 ticks	($1,011)	178
Break-even stop, +5 ticks	$14	175
Identified total	**–**	**552**

26.7% OF ALL TRADES RESOLVE ON AN EXACTLY-PRICED BRANCH

At minimum **377 trades** (18.3%) ran on the fixed 200/200 fallback rather than on a structural swing stop, and **175** were closed by the break-even rule for +$14. Fallback trades that ended at the EOD close cannot be separated in the export, so 377 is a floor.

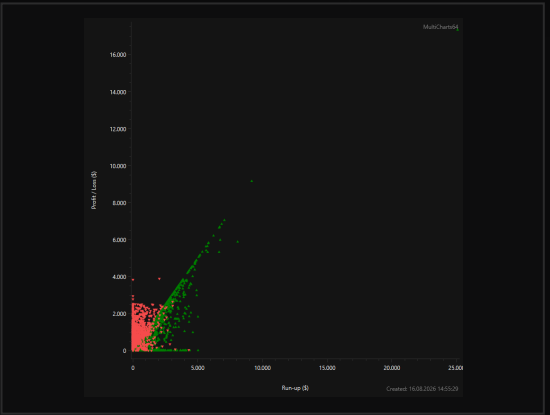


FIG. 5 MAXIMUM FAVOURABLE EXCURSION AGAINST REALISED P&L

The dense red block at the left of Fig. 5 is the give-back. **123 losing trades showed more than $1,000 of open profit** before closing red, 23 of them more than $2,000, with a worst case of $4,315 surrendered. That population is the direct cost of a 3R target with break-even armed only at 1.5R.

04

// AN UNDESIGNED CONCENTRATION

THE WEEKEND CARRY.

The strategy is described, and was written, as an intraday model that flattens every position at 21:00. It does not always do so. **129 trades in the log exit on a later calendar day than they were entered, and 126 of them were entered on a Friday.** The pattern is consistent with the Friday session ending before bar time reaches 21:00: the EOD branch never evaluates true, the position survives the close, and it is resolved when the market reopens — 126 of the 129 exits are stamped Sunday.

// CARRIED TRADES	// THEIR NET P&L	// THEIR WIN RATE	// THEIR PROFIT FACTOR
129	**$157,882**	**76.7%**	**6.48**
6.2% of the sample	44.7% of total net profit	vs 48.5% same-day	vs 1.20 same-day

POPULATION	SAME-DAY	CARRIED
Trades	**1,937**	**129**
Net profit	**$195,404**	**$157,882**
Profit factor	**1.20**	**6.48**
Win rate	**48.48%**	**76.74%**
Average trade	**$100.88**	**$1,223.89**
Best trade	$17,345	$9,165
Worst trade	($3,836)	($3,891)

DERIVED FROM THE EXPORTED TRADE LOG; "CARRIED" = EXIT DATE LATER THAN ENTRY DATE

YEAR	CARRIED	NET P&L
2020 (from Apr)	14	$24,649
2021	25	$28,408
2022	16	$25,942
2023	23	$17,362
2024	21	$24,435
2025	20	$28,114
2026 (to Aug)	10	$8,972

PRESENT IN EVERY YEAR OF THE SAMPLE, IN-SAMPLE AND OUT-OF-SAMPLE ALIKE

Stripped of the weekend carries, the intraday model runs at a profit factor of 1.20 and an average trade of $101. Still positive, still above the cost floor — but a materially different system from the one the headline numbers describe, and not exposed to the same risk.

// WHY THIS IS A RISK FINDING, NOT A FEATURE

A position held from Friday's close to Sunday's reopen carries full gap risk with a stop that cannot be filled while the market is shut. Over this sample the gaps favoured a long book — 76.7% of carried trades won against 48.5% same-day, in an index that mostly went up. The mechanism producing 44.7% of the profit is **an unhedged long-bias exposure to weekend gaps**, arrived at through a time comparison that fails on Fridays.

// What Follows From It

- It is **consistent**, not one lucky weekend: every year contributes $9k–$28k from 10–25 carried trades.
- It is **undiversified**: ~20 exposures a year, all long, one instrument, one two-day window.
- Most prop-firm rules prohibit weekend carry, so a compliant version loses 44.7% of the backtested profit before it starts.

Conversely, if weekend gap exposure is the real edge, it should be isolated and tested on its own terms, not smuggled in through a broken filter.

> *Six per cent of the trades produce forty-five per cent of the profit, through a mechanism the strategy was written to prevent.*
>
> CONCLUSION OF §04

05

// THE KNOWN DEFECT

THE WICK PROBLEM.

During development it became clear that the strategy was taking candles that still had a lower wick — inconsistent with a hypothesis that depends on the auction never trading below the open.

Inspection of the code confirms why. The gate is written as:

```
Low <= Open + TickSize
```

For any bar, `Low` is by definition less than or equal to `Open`. Adding one tick to the right-hand side makes the comparison **true for every bar without exception**; the test imposes no constraint at all. The intended relation is its mirror image, `Open - Low <= TickSize`, and the variable that would express it — `WickTicks` — is computed once and never referenced again.

The consequence is precise and unavoidable: **the population traded in this backtest is every bullish 15-minute bar that closes above the 50-EMA inside the session window**, retested on the following bar. It is not the no-wick population. It is a strict superset of it.

// What Happened On Correction

The condition was corrected during development so that only genuine no-wick candles qualified. The number of valid setups **collapsed**, the strategy became too selective to trade, and performance deteriorated materially because so much of the sample disappeared. The change was reverted, and the permissive version is the one released here. The corrected run was not exported; no statistics are offered for it because none were retained.

// STATUS OF THE HYPOTHESIS

The backtest in §02 to §08 is **not evidence for the no-wick concept**. It is evidence about a bullish-bar retest above a 50-EMA with a structural stop, an EOD flat, and a break-even rule.

Whatever edge those numbers contain is attributable to the exit architecture and the trend filter, not to the auction structure the model was meant to isolate.

// The Open Problem

Two facts have to be reconciled, and at present they are not:

- A strict no-wick filter is what the hypothesis actually says.
- A strict no-wick filter reduces the sample to a size that no longer supports a tradeable system.

Neither “keep the broken filter” nor “keep the strict filter and stop trading” is satisfactory. The interesting work is between them, and it has not been done.

// UNEXPLORED DIRECTIONS

- A tolerance parameter on `WickTicks` swept from 0 upward, so selectivity becomes a dial rather than a switch.
- Wick length normalised by bar range or ATR rather than absolute ticks.
- Relaxing the retest window, or dropping to a lower timeframe, so strict no-wick bars stay frequent enough to sample.

> *The filter that gives the strategy its name is inactive in the code that produced these results. The hypothesis was never actually tested.*

CONCLUSION OF §05

05

// 10,000 RESAMPLED PATHS

SEQUENCE RISK.

A Monte Carlo resampling was run over the exported trade log: **10,000 simulations, each drawing 100% of the trades**, so every path holds the same 2,066 trades in a different order. The consequence is visible at the right edge of Fig. 9 — all paths converge on one terminal figure, the fan spanning $349k to $356k in the last plotted column, which is line width around $353,286.

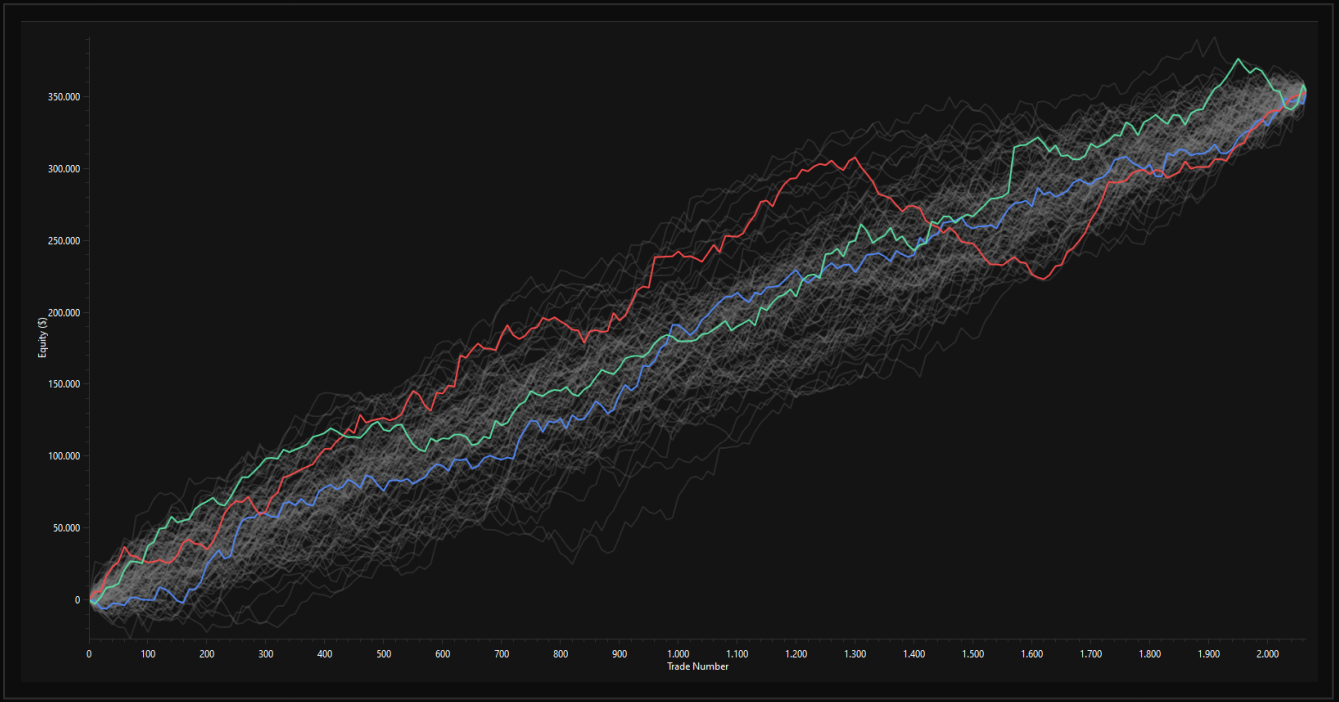


FIG. 9 10,000 TRADE-ORDER SIMULATIONS, 100% OF TRADES, BY TRADE NUMBER; THREE PATHS HIGHLIGHTED

// What This Tests, And What It Cannot

Preserving the full trade set means the procedure **cannot** produce dispersion in the terminal result. It is not a confidence interval on net profit and it is not evidence that the edge is real. What it measures is **sequence risk**: the range of equity paths and interim drawdowns that this exact set of trades could have produced had they arrived in a different order.

On that question the answer is substantial. The realised curve in §03 is one ordering out of ten thousand — through the middle of the sample the drawn paths occupy a band roughly **$145,000** wide, and a trader running the model live could have landed anywhere inside it.

The early sample is where it bites. A visible share of the drawn paths spend the **first ~300 trades below break-even**, the lowest reaching roughly **−$17,000** — close to a year underwater on an identical set of trades.

RENDERED FAN	LOW	HIGH
Trade 250	−$17k	$93k
Trade 500	$27k	$143k
Trade 1,000	**$115k**	**$260k**
Trade 1,500	$205k	$342k
Trade 2,066	**$353,286**	**$353,286**

READ OFF FIG. 9. NO PERCENTILE BANDS, DRAWDOWN DISTRIBUTION OR RISK-OF-RUIN FIGURE WERE EXPORTED

// WHAT THE RESAMPLE INHERITS

Every path is built from the realised trade log, so both structural findings sit inside all 10,000: the inactive wick gate (§05A) and the 129 weekend carries that supply 44.7% of net profit (§04C). Trade-order resampling cannot detect either.

06

// DEVELOPMENT PERIOD VS PRIOR PERIOD

SPLIT SAMPLE.

Development and optimisation were carried out on data from **January 2023 onward**. The preceding period, **April 2020 to December 2022**, was reserved and used afterwards to check whether the optimised logic stayed structurally consistent outside the development window. The split is computed directly from the exported trade log at the 2023 boundary.

METRIC	OUT-OF-SAMPLE	IN-SAMPLE
Period	2020-04 / 2022-12	2023-01 / 2026-08
Trades	**837**	**1,229**
Net profit	**$147,054**	**$206,232**
Profit factor	**1.38**	**1.32**
Win rate	**50.06%**	**50.37%**
Avg trade	$175.69	$167.80
Avg winner	$1,282.13	$1,367.79
Avg loser	($933.39)	($1,053.34)
Max closed-trade DD	($23,507)	($35,650)
Largest winner	$6,845	$17,345
Largest loser	($3,891)	($2,951)
Target exits	22.2%	26.5%
EOD exits	26.3%	19.9%

DERIVED FROM THE EXPORTED TRADE LOG; DRAWDOWN IS CLOSED-TRADE, NOT INTRABAR

The characteristics do not materially change across the boundary. Profit factor moves from 1.38 to 1.32, win rate from 50.06% to 50.37%, average trade from $175.69 to $167.80. The earlier, untouched period is if anything the slightly better one, which is the opposite of the signature normally left by curve-fitting.

Two qualifications. This is a single chronological split, not a walk-forward: parameters were never re-optimised on rolling windows, so it tests transferability of one parameter set, not the stability of the optimisation process. And no significance test was applied to the difference between the periods.

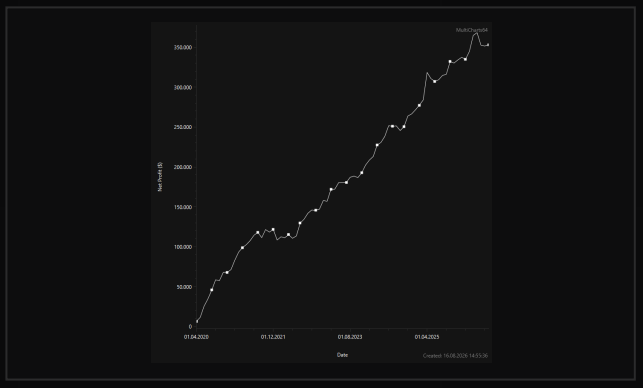


FIG. 6 CUMULATIVE NET PROFIT BY MONTH; THE 2023 BOUNDARY FALLS MID-CURVE

YEAR	TRADES	NET P&L	PF	WIN %
2020 (from Apr)	219	$67,854	1.75	53.42
2021	306	$53,885	1.48	50.00
2022	312	$25,315	1.14	47.76
2023	312	$55,292	1.43	51.92
2024	325	$64,179	1.40	51.08
2025	340	$67,573	1.36	50.29
2026 (to Aug)	252	$19,188	1.12	47.62

NO LOSING CALENDAR YEAR; 58 OF 77 MONTHS POSITIVE (75.3%)

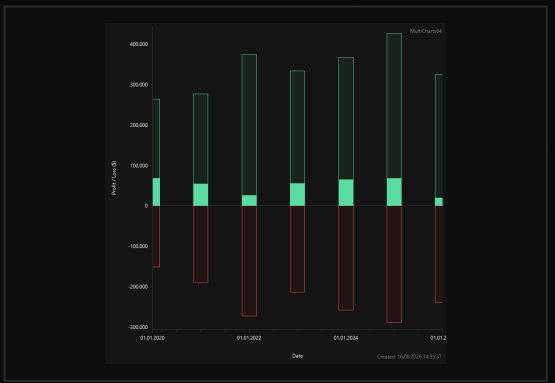


FIG. 7 ANNUAL RETURNS AGAINST ANNUAL DRAWDOWN ENVELOPE

07

// STOP ARCHITECTURE

RISK STRUCTURE.

Risk is resolved once, at fill, and then only tightened. The model first tries to anchor the stop to market structure; if structure is too far away it falls back to a fixed distance.

// Primary, Structural

Stop	Most recent swing low, bars 2–10
Max permitted risk	500 ticks / $2,500
Target	3.0 R
Break-even arms at	1.5 R
Break-even offset	+5 ticks / $25

// Fallback, Fixed

Triggered when	Risk > 500 ticks, or no swing
Stop	200 ticks / $1,000
Target	200 ticks / $1,000
Reward-to-risk	1.0 R
Break-even	Not armed

The fallback is deliberate, not cosmetic. Discarding setups whose structural stop sits beyond 500 ticks — rather than trading them at fixed risk — produced materially worse overall statistics in development, so the branch was kept. At least 18.3% of the sample resolves on it (§04).

// SWING SEARCH, AS CODED

The loop runs `LookbackBar` from 2 to 10 and takes the *first* three-bar pivot it finds, so the search returns the nearest swing low, not the most significant one. A pivot on bar 10 is compared against bar 11, one bar beyond the stated lookback.

// Where Risk Escapes The Model

The largest single loss in the log is **$3,891**. The maximum risk the architecture permits is 500 ticks, or $2,500, plus costs. **Seven trades** closed worse than −$2,510, meaning the stop was passed through rather than filled at its level.

The EOD branch is a second uncovered window, in two distinct ways. Once bar time reaches 21:00 the code takes the market-exit path and stops re-issuing the TP and SL orders, so the position runs unprotected until the exit fills. And on Fridays the comparison `Time >= EODTime` never becomes true before the session ends, so the flat does not happen at all and the position is carried into the weekend — 129 times, for 44.7% of net profit (§04C).



FIG. 8 MONTHLY RETURNS AGAINST MONTHLY DRAWDOWN, APR 2020 TO AUG 2026

MONTHLY DISPERSION	VALUE
Months in sample	77
Positive months	**58 (75.3%)**
Average month	$4,588
Monthly std. dev.	$7,314
Best month	$34,466
Worst month	($15,645)

MONTHLY STD. DEV. EXCEEDS THE AVERAGE MONTH BY 1.6×

08

// COMMISSION AND SLIPPAGE

COST STRUCTURE.

Commission and slippage are not applied after the fact; they are loaded in the MultiCharts run and are already inside every figure in this document. Total drag over the sample is **$22,214** against $353,286 of net profit — but the composition of that number needs stating plainly, because the slippage half of it is set below one tick.

// As Configured

Commission setting	$5 per trade, fixed
Slippage setting	$1 per trade
Commission paid	**$20,660.00**
Slippage paid	**$1,554.00**
Total cost drag	**$22,214.00**
Cost per trade	$10.75
Cost vs pre-cost net	5.9%

// READING THE SLIPPAGE FIGURE

$1,554 divided by $1 gives exactly 1,554 charged fills — precisely the 1,089 stop exits plus 465 market EOD exits. Entries and take-profits are limit orders and are charged nothing, which is correct in direction.

The magnitude is not. **One NQ tick is $5.** The run charges $1 on each slipping fill, one fifth of a tick. The commission assumption of $5 per fill is realistic; the slippage assumption is optimistic by roughly 5× on the fills where slippage actually occurs.

// Deterministic Cost Overlay

The overlay below re-prices the exported trade log arithmetically. It is **not a re-executed backtest**: fills, entry levels and exit levels are held fixed and only the per-fill charge is changed. Any second-order effect on which trades fill is not captured.

SCENARIO	NET	PF	AVG
As configured $1/fill	**$353,286**	**1.343**	**$171.00**
1 tick on stop & market exits	$347,070	1.336	$167.99
1 tick on every fill	$334,180	1.321	$161.75

COMMISSION HELD AT $5 PER FILL THROUGHOUT

Charging a full tick where slippage genuinely occurs costs **$6,216**, 1.8% of net profit. Charging a full tick on every fill, including limit entries that would not realistically slip, costs **$19,106**, 5.4% of net. Profit factor holds above 1.32 in both cases and the split-sample conclusion of §06 is unchanged:

1-TICK OVERLAY	OUT-OF-SAMPLE	IN-SAMPLE
Net profit	$144,450	$202,620
Profit factor	1.37	1.32
Avg trade	$172.58	$164.87

> *The model is not cost-fragile. The average trade of $171 sits roughly 11× a realistic $15 round turn, and the edge survives a five-fold increase in the slippage charge. Costs are not what this model needs to worry about.*
>
> CONCLUSION OF §08

09

// WHAT THIS DOCUMENT DOES NOT SHOW

OPEN PROBLEMS.

// Analyses Not Performed

One trade-order Monte Carlo exists. Everything else below was never run, and none of the numbers above should be read as if it had been.

Monte Carlo, trade order	10,000 runs, §05B
Simulated percentile export	Not available
Bootstrap with replacement	Not performed
Confidence interval on expectancy	Not performed
Walk-forward optimisation	Not performed
Parameter sensitivity sweep	Not performed
Significance test, IS vs OOS	Not performed
Runs / dependency test	Not performed
Regime decomposition by volatility	Not performed
Multi-instrument portability	Not performed
Tick-level fill reconstruction	Not performed

ONE MULTICHARTS EXPORT PLUS ONE TRADE-ORDER RESAMPLING IS THE ENTIRE EVIDENTIAL BASE

// ON THE PROP-FIRM PASS

This model has been used to pass a prop-firm evaluation — a single account outcome over a short window with discretionary oversight. It is a practical observation and **not** statistical validation, out-of-sample confirmation, or evidence of robustness. It is reported because it happened, not because it proves anything.

// Known Defects And Anomalies

// 01, THE WICK GATE

The condition `Low <= Open + TickSize` is unconditionally true. The strategy's defining filter is inactive in the tested code. Full treatment in §05A.

// 02, FILLS OUTSIDE THE WINDOW

Seven entries are timestamped 17:15, outside the declared 09:00–13:59 window. 0.3% of the sample, −$3,106. Cause not established; session-time or DST misalignment is the likely candidate.

// 03, STOPS PASSED THROUGH

Seven trades closed beyond the $2,500 maximum structural risk, worst case $3,891. Gap risk is real and is not modelled by the fixed slippage setting.

// 04, THE EOD FLAT FAILS ON FRIDAYS

Bar time never reaches 21:00 before the Friday session ends, so 129 positions were carried across weekends, producing 44.7% of net profit under unhedged gap risk (§04C).

// 05, INTRABAR ASSUMPTION

Intrabar order sequence is assumed, not reconstructed. Where both stop and target lie inside a bar's range, resolution is platform convention, not observed fact.

// 06, SINGLE INSTRUMENT, SINGLE SIZE

One contract of NQ throughout, uncompounded, so percentage figures scale with an arbitrary $100k balance and are not achievable rates of return.

10

// STATUS OF THE MODEL

VERDICT.

UNFINISHED / OPEN

A long-only NQ model with encouraging six-year backtest behaviour, consistent characteristics either side of its development boundary, and a **defect in the filter it is named after**. It is not validated, not robustness-tested, and not deployable as written. It is a working hypothesis with a trade log attached.

// WHAT HOLDS UP

2,066 trades over six years and four months, no losing calendar year, 75% of months positive.

Profit factor 1.38 out-of-sample against 1.32 in-sample — the earlier untouched period is not worse.

The edge is diffuse: removing the five largest winners still leaves $306,181.

// WHAT DOES NOT

The no-wick condition never fires. The tested population is bullish bars above a 50-EMA, nothing narrower.

The Friday EOD flat fails, and 6.2% of trades carried over weekends supply 44.7% of net profit.

Stripped of those carries the intraday model runs at PF 1.20 and $101 per trade. The deepest drawdown of the sample is the most recent one.

// WHAT IS MISSING

The only resampling that exists reshuffles trade order, so it cannot bound the terminal result.

No bootstrap, walk-forward or confidence interval around the $171 expectancy exists.

No parameter sweep exists, so nothing is known about how sharp the optimum is.

// Position

The concept is drawn from Auction Market Theory and from a discretionary order-flow read that cannot be reproduced without bid/ask data. What the code attempts is a translation of that read into an OHLC-only mechanical rule. The translation is currently incomplete, and the backtest measures the untranslated remainder.

Out-of-sample behaviour is encouraging on the evidence available. That evidence is one export, one instrument, one parameter set, and one chronological split. Encouraging is the correct word, and it is the strongest word this document is prepared to use.

// Statement Of Limitations

Not financial advice. This document is an internal research note on an unfinished mechanical strategy and does not constitute an offer, solicitation, or recommendation to trade any instrument. All figures derive from a single MultiCharts backtest export supplied by the author; no independent re-execution against raw market data was performed. Backtested results are hypothetical, carry the benefit of hindsight, and do not represent actual trading. Latency, queue position, order rejection, exchange halts and financing are not modelled. Slippage is charged at $1 per affected fill, below one NQ tick; commission at $5 per fill. Returns are computed on a fixed one-contract position against a $100,000 nominal balance and are gross of taxes. Percentage figures do not compound and do not represent an attainable rate of return. Figures 1 to 8 are reproduced unmodified from the supplied workbook; all derived tables are arithmetic on the exported trade log and are labelled as such. Past performance, backtested or realised, does not indicate future results.

10

// WHY THE CODE IS ATTACHED

BUILD SOMETHING OF YOUR OWN.

This is not a finished product to copy and trade. Treat it as a starting point.

The full logic is published so that it can be taken apart. The interesting outcome of releasing a strategy is not that someone runs it, but that someone disagrees with a specific part, changes it, and finds out something the author did not know.

Every component is a decision that could have been made differently, and most were made under a data constraint that may not apply to you. With Level 2 access the entire OHLC proxy becomes unnecessary and the original footprint read can be tested directly. Without it, this proxy is one of many possible ones.

The document is deliberately explicit about what is broken, what was never tested, and where the P&L actually comes from. That information is more useful than the equity curve.

> *The purpose of releasing this is not to present a holy grail. It is to put an unfinished idea on the table and find out what other people can learn from it, break, improve, or rebuild.*
>
> CLOSING POSITION

// Places To Start

// THE REFERENCE LEVEL

Entry sits at the signal bar's open. It could sit at the midpoint, the prior close, a value-area edge, or a session-defined level.

// THE TRIGGER

The wick gate is broken (§05) and the honest fix costs too many trades. A tolerance parameter, a range-normalised wick, or a different proxy entirely are all open.

// THE RISK MODEL

A 3R target fires on a quarter of trades while a time-based flat earns more. Try a trailing structural stop, a partial at 1R, or a volatility-scaled fallback.

// THE SESSION BOUNDARY

Decide the weekend question explicitly (§04C): force a Friday flat and see what the intraday model is worth alone, or keep the carry and size it deliberately.

// THE RETEST WINDOW AND TIMEFRAME

The limit order lives for exactly one bar; widening it may be the cheapest way to recover trades a strict wick filter removes. And nothing in the hypothesis is specific to 15 minutes or to NQ.

// THE VALIDATION LAYER

Everything still listed as not performed in §09 is open to anyone holding the trade log.

// NQ NO-WICK MODEL, COMPLETE MULTICHARTS SOURCE, PAGE 1 OF 2

```
Inputs:
    EMALength(50),
    TargetTicks(200),
    HardStopTicks(200),
    MaxSwingRiskTicks(500),
    SwingRR(3.0),
    SwingBE_R(1.5),
    BEPufferTicks(5),
    StartTime(0900),
    EndTime(1359),
    EODTime(2100), { <= NEU: Uhrzeit für den automatischen EOD-Close (z.B. 2145 für 21:45 Uhr) }
    TickSizeOverride(0);

Variables:
    EMA50(0),
    TickSize(0),
    WickTicks(0),
    SwingLowPrice(0),
    SwingFound(False),
    DynamicSL(0),
    DynamicTP(0),
    RiskTicks(0),
    EntryInitialized(False),
    LookbackBar(0),
    IsSwingTrade(False),
    SwingRiskPoints(0),
    BE_Armed(False);

EMA50 = XAverage(Close, EMALength);

If TickSizeOverride > 0 then
    TickSize = TickSizeOverride
else
    TickSize = MinMove / PriceScale;

WickTicks = (Open - Low) / TickSize;

{ ===== LONG ENTRY ===== }
If MarketPosition = 0
and Time >= StartTime
and Time <= EndTime
and Close > Open
and Low <= Open + TickSize
and Close > EMA50 then
begin
    Buy ("NoWickL") next bar at Open limit;
end;

{ ===== RESET WHEN FLAT ===== }
If MarketPosition = 0 then
begin
    EntryInitialized = False;
    SwingFound = False;
    SwingLowPrice = 0;
    IsSwingTrade = False;
    SwingRiskPoints = 0;
    BE_Armed = False;
end;

{ ===== INITIALIZE TRADE ON FILL ===== }
If MarketPosition = 1 and EntryInitialized = False then
begin
```

// NQ NO-WICK MODEL, COMPLETE MULTICHARTS SOURCE, PAGE 2 OF 2

{ ...CONTINUED FROM PREVIOUS PAGE }

```
    EntryInitialized = True;
    SwingFound = False;
    SwingLowPrice = 0;
    IsSwingTrade = False;

    { Fallback }
    DynamicSL = EntryPrice - (HardStopTicks * TickSize);
    DynamicTP = EntryPrice + (TargetTicks * TickSize);

    { Suche aktuellstes Swing Low der letzten 10 Bars }
    For LookbackBar = 2 to 10 begin
        If SwingFound = False then
        begin
            If Low[LookbackBar] < Low[LookbackBar - 1]
            and Low[LookbackBar] < Low[LookbackBar + 1] then
            begin
                SwingLowPrice = Low[LookbackBar];
                SwingFound = True;
            end;
        end;
    end;

    { Verwende Swing Low falls Risiko nicht zu groß }
    If SwingFound then
    begin
        RiskTicks = (EntryPrice - SwingLowPrice) / TickSize;
        If RiskTicks <= MaxSwingRiskTicks then
        begin
            DynamicSL = SwingLowPrice;
            DynamicTP = EntryPrice + ((EntryPrice - SwingLowPrice) * SwingRR);
            IsSwingTrade = True;
            SwingRiskPoints = EntryPrice - SwingLowPrice;
        end;
    end;
end;

{ ===== SWING BREAKEVEN ===== }
If MarketPosition = 1 and IsSwingTrade and (not BE_Armed) then
begin
    If High >= EntryPrice + (SwingRiskPoints * SwingBE_R) then
    begin
        DynamicSL = EntryPrice + (BEPufferTicks * TickSize);
        BE_Armed = True;
    end;
end;

{ ===== EXITS (INKL. EOD CLOSE) ===== }
If MarketPosition = 1 then
begin
    { Prüfen ob EOD-Zeit erreicht ist }
    If Time >= EODTime then
    begin
        Sell ("L-EOD") next bar at Market;
    end
    else
    begin
        Sell ("L-TP") next bar at DynamicTP limit;
        Sell ("L-Stop") next bar at DynamicSL stop;
    end;
end;
```